Crisil
Ratings

Rating Update

September 05, 2025 | Mumbai

OSEL Devices Limited

Update as on September 05, 2025

This update is provided in continuation of the rating rational below.

The key rating sensitivity factors for the rating include:

Upward factors:

- Increase in revenue by more than 30% aided by higher capacity utilisation and stable operating margin of 15-16% leading to higher cash accrual
- Sustenance of financial risk profile

Downward factors:

- Decline in revenue by more than 30% and fall in operating margin below 10% leading to lower net cash accrual
- Further stretch in the working capital cycle or large, debt-funded capital expenditure weakening the liquidity and financial risk profile

Crisil Ratings has a policy of keeping its accepted ratings under constant and ongoing monitoring and review. Accordingly, Crisil Ratings seeks regular updates from companies on the business and financial performance. Crisil Ratings is, however, awaiting adequate information from OSEL Devices Limited (ODL) which will enable us to carry out the rating review. Crisil Ratings will continue provide updates on relevant developments from time to time on this credit.

Crisil Ratings also identifies information availability risk as a key credit factor in the rating assessment as outlined in its criteria 'Information Availability Risk in Credit Ratings'.

About the Company

Incorporated in 2006, ODL manufactures and assembles electronic equipment, mainly LED screens and hearing aids. Its manufacturing facility is in Greater Noida, Uttar Pradesh, and has production capacity of 15,000 sq ft per annum of LED display and 400,000 units per annum of hearing aids.

The company is owned and managed by Rajendra Ravi Shanker Mishra, Jyotsna Jawahar and Mukesh Kumar Sinha.

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CRISIL
Ratings

Rating Rationale

August 31, 2024 | Mumbai

OSEL Devices Limited

'CRISIL BBB / Stable' assigned to Bank Debt

Rating Action

Total Bank Loan Facilities Rated	**Rs.45 Crore**
Long Term Rating	**CRISIL BBB/Stable (Assigned)**

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1 crore = 10 million
Refer to Annexure for Details of Instruments & Bank Facilities

Detailed rationale

CRISIL Ratings has assigned its '**CRISIL BBB/Stable**' rating to the long-term bank facilities of OSEL Devices Ltd (ODL).

The rating reflects the extensive experience of the promoters in the healthcare equipment industry, the improving scale of operations of the company, its sound operating efficiency and a healthy financial risk profile. These strengths are partially offset by exposure to risks related to technological obsolescence and raw material price fluctuations, and moderate working capital requirement.

Analytical approach

Not applicable

Key rating drivers and detailed description

Strengths:

Extensive experience of the promoters and improving scale of operations: The promoters have experience of around two decades in the healthcare equipment industry. The company was engaged in trading until 2019 and subsequently started manufacturing light-emitting diode (LED) display systems and hearing aids. The expertise of the promoters has given them understanding of market dynamics and enabled them to establish relationships with suppliers and customers. The LED display systems and hearing aids contributed ~36% and ~64% to revenue, respectively, in fiscal 2024. Operating income has been growing at a healthy compound annual rate of 32% for the past three fiscals through 2024. The operating income is estimated at Rs 132.25 crore in fiscal 2024 and is expected to improve by 30-35% in fiscal 2025 owing to increased capacity utilisation amid rising demand for its products, given the increased market penetration of the company. It has a strong clientele, including private and government customers, such as Artificial Limbs Manufacturing Corporation of India, PVR Ltd, Lulu Mall and Indian Space Research Organisation (ISRO).

Healthy financial risk profile: Capital structure was healthy owing to lower reliance on external debt, yielding gearing of around 1.02 times and total outside liabilities to adjusted networth (TOLANW) ratio of 2.04 times as on March 31, 2024. Gearing and TOLANW ratio are expected to improve to around 0.8 time and 1.5 times, respectively, as on March 31, 2025, aided by healthy accretion to reserve. Debt protection metrics were comfortable, as reflected in estimated interest coverage and net cash accrual to adjusted debt ratios of 6.5 times and 0.5 time, respectively, in fiscal 2024. The debt protection metrics are expected to improve over the medium term owing to healthy profitability.

Weaknesses:

Exposure to technology obsolescence risk and raw material price fluctuations: Intense competition has led to rapidly evolving products and innovations and thus high technology obsolescence risk. This affects the bargaining power of the company and the operating margin fluctuates based on tenders. Also, the company procures its key raw materials from China and any volatility in price or supply chain issues could impact operations.

Moderate working capital requirement: Operations are moderately working capital intensive, as reflected in gross current assets (GCAs) of 157 days as on March 31, 2024 (187 days a year earlier), driven by inventory of 82 days (90 days a year earlier). Inventory mainly includes raw material as it is majorly imported from China, and the company tries to maintain adequate inventory to cater to unprecedented orders. Furthermore, it has multiple stock-keeping units and does customisation as well for both product segments. Receivables were at 70 days as on March 31, 2024 (57 days a year earlier). The working capital cycle is partly supported by payables of 60-90 days.

Liquidity: Adequate

The company generated cash accrual of Rs 13.1 crore in fiscal 2024 and is expected to generate Rs 18-21 crore over the medium term against yearly debt obligation of around Rs 1.6 crore. Bank limit utilisation was moderate at 78.5% for the 12 months through June 2024. The company has also availed enhancement in bank lines in August 2024, which will cushion liquidity. Current ratio was adequate at 1.4 times as on March 31, 2024.

Outlook: Stable

CRISIL Ratings believes ODL will continue to benefit from the extensive experience of the promoters and established relationships with clients.

Rating sensitivity factors

Upward factors

- Increase in revenue by more than 30% aided by higher capacity utilisation and stable operating margin of 15-16% leading to higher cash accrual
- Sustenance of financial risk profile

Downward factors

- Decline in revenue by more than 30% and fall in operating margin below 10% leading to lower net cash accrual
- Further stretch in the working capital cycle or large, debt-funded capital expenditure weakening the liquidity and financial risk profile

About the company

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The company is owned and managed by Rajendra Ravi Shanker Mishra, Jyotsna Jawahar and Mukesh Kumar Sinha.

Key financial indicators

As on / for the period ended March 31		2024*	2023
Operating income	Rs crore	132.24	81.9
Reported profit after tax (PAT)	Rs crore	12.15	5.03
PAT margin	%	9.19	6.14
Adjusted debt / adjusted networth	Times	1.02	1.35
Interest coverage	Times	6.57	7.47

**Provisional*

Any other information: Not applicable

Note on complexity levels of the rated instrument:

CRISIL Ratings` complexity levels are assigned to various types of financial instruments and are included (where applicable) in the 'Annexure - Details of Instrument' in this Rating Rationale.

CRISIL Ratings will disclose complexity level for all securities - including those that are yet to be placed - based on available information. The complexity level for instruments may be updated, where required, in the rating rationale published subsequent to the issuance of the instrument when details on such features are available.

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Annexure - Details of Instrument(s)

ISIN	Name Of Instrument	Date Of Allotment	Coupon Rate (%)	Maturity Date	Issue Size (Rs. Crore)	Complexity Levels	Rating Outstanding with Outlook
NA	Cash Credit	NA	NA	NA	39.20	NA	CRISIL BBB/Stable
NA	Term Loan	NA	NA	31-Mar-30	5.80	NA	CRISIL BBB/Stable

Annexure - Rating History for last 3 Years

	Current			2024 (History)		2023		2022		2021		Start of 2021
Instrument	Type	Outstanding Amount	Rating	Date	Rating	Date	Rating	Date	Rating	Date	Rating	Rating
Fund Based Facilities	LT	45.0	CRISIL BBB/Stable		--		--		--		--	--

All amounts are in Rs.Cr.

Annexure - Details of Bank Lenders & Facilities

Facility	Amount (Rs.Crore)	Name of Lender	Rating
Cash Credit	39.2	Indian Bank	CRISIL BBB/Stable
Term Loan	5.8	Indian Bank	CRISIL BBB/Stable

Criteria Details

Links to related criteria
Rating criteria for manufaturing and service sector companies
CRISILs Approach to Financial Ratios
CRISILs Bank Loan Ratings - process, scale and default recognition

Media Relations	Analytical Contacts	Customer Service Helpdesk
Prakruti Jani Media Relations **CRISIL Limited** M: +91 98678 68976 B: +91 22 3342 3000 PRAKRUTI.JANI@crisil.com **Rutuja Gaikwad** Media Relations **CRISIL Limited** B: +91 22 3342 3000 **Rutuja.Gaikwad@ext-crisil.com**	Nitin Kansal Director **CRISIL Ratings Limited** D:+91 124 672 2154 nitin.kansal@crisil.com Smriti Singh Team Leader **CRISIL Ratings Limited** B:+91 124 672 2000 smriti.singh@crisil.com Naman Kalra Rating Analyst **CRISIL Ratings Limited** B:+91 124 672 2000 Naman.Kalra@crisil.com	Timings: 10.00 am to 7.00 pm Toll free Number:1800 267 1301 For a copy of Rationales / Rating Reports: CRISILratingdesk@crisil.com For Analytical queries: ratingsinvestordesk@crisil.com

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